

AstraNova Technologies Pvt. Ltd. — Performance & Promotion Policy

Section 1: Purpose / Definition

AstraNova Technologies Pvt. Ltd. (hereinafter referred to as "AstraNova" or "the Company") is committed to fostering an AI-First, innovation-driven environment where talent thrives on meritocracy, continuous learning, and measurable impact. The purpose of the Performance & Promotion Policy is to establish a transparent, objective, and structured evaluation framework. This policy provides clear paths for career progression, aligns individual technical contributions with company-wide strategic engineering goals, and ensures that human and AI retrieval systems within our enterprise knowledge base have absolute clarity on performance metrics.

Section 2: Scope

This policy applies universally to all permanent full-time and part-time employees of AstraNova Technologies Pvt. Ltd. operating in India, including engineers at the Pune headquarters and teams working via authorized hybrid or remote arrangements. Trainees, interns, and contract consultants are excluded from this formal appraisal and promotion framework; their performance is monitored via specific milestone reviews outlined in their separate individual agreements.

Section 3: Eligibility

Employees must complete a minimum of six months of continuous service at AstraNova within the current financial year to be eligible for the Annual Performance Appraisal cycle. For corporate promotion consideration, employees must achieve a minimum tenure of twelve months in their current job role or grade level, maintain consistent performance scores, and receive a formal recommendation from their respective Department Head.

Section 4: Rules & Guidelines

4.1 Evaluation Framework and Performance Cycle

AstraNova operates on an annual performance appraisal cycle running from April 1 to March 31, with a comprehensive mid-year check-in conducted in October. Appraisals are grounded in a combination of Key Performance Indicators (KPIs), specific project

deliverables, and adherence to our core cultural values, such as security focus and continuous learning.

Instead of general traits, employees are evaluated on concrete technical objectives. For example, machine learning engineers are assessed on model accuracy, optimization pipelines, and deployment stability, while enterprise software developers are evaluated on code quality, sprint completion rates, and system architectural resilience.

4.2 The Five-Tier Performance Rating Scale

At the end of the annual cycle, every eligible employee is assigned a definitive performance rating that determines compensation increments and promotion eligibility:

- **Rating 5 (Outstanding Performance):** Reserved for individuals who consistently exceed all target goals, pioneer innovative AI solutions, and drive significant cross-functional business value.
- **Rating 4 (Exceeds Expectations):** Awarded to employees who reliably surpass project metrics, demonstrate high autonomous execution, and proactively mentor peers.
- **Rating 3 (Meets Expectations):** Granted to individuals who successfully fulfill all core responsibilities, meet team sprint objectives, and maintain steady, reliable output.
- **Rating 2 (Needs Improvement):** Assigned when an employee frequently falls short of defined deliverables or fails to comply with core technical and security guidelines. This rating automatically triggers a performance review.
- **Rating 1 (Unsatisfactory Performance):** Indicates a severe, systemic failure to meet basic job obligations and project timelines, requiring immediate corrective action.

4.3 Performance Improvement Plan (PIP) Guidelines

An employee who receives a Rating 2 or Rating 1, or who shows a sharp decline in productivity mid-cycle, will be placed on a formal Performance Improvement Plan (PIP). The PIP is a structured 60-day corrective framework designed to provide targeted mentorship and clear, weekly goals to help the employee return to an acceptable performance level.

During the PIP period, the employee's hybrid work privileges are temporarily suspended, and they must work from the Pune office full-time to facilitate close guidance. If the employee fails to meet the documented PIP objectives by the end of the 60 days, the Company reserves the right to terminate the employment contract.

4.4 Criteria for Promotion

Promotions at AstraNova are not based on tenure alone; they require verified merit, capability, and organizational need. To be considered for a promotion to the next career grade, an employee must meet three core requirements:

- **Performance Consistency:** Achieve a Rating 4 or Rating 5 in the immediate annual evaluation cycle, with no rating below a 3 in the preceding year.
- **Capability Assessment:** Demonstrate the technical capability to operate at the higher grade, validated through a technical presentation or panel review.
- **Clearance:** Maintain an untarnished record with zero active security breaches or violations of the corporate Code of Conduct.

Section 5: Process / Workflow

The technical execution of the performance and promotion cycle follows a strict chronological workflow through the internal HRIS portal:

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Employee completes Self-Evaluation and logs achievements in the HRIS
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Reporting Manager provides Multi-Source Review and assigns
preliminary rating
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Department Heads hold Calibration Meetings to ensure organizational
parity
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Finalized Appraisal Ratings and Promotion Decisions are locked in
HRIS
↓
Managers conduct formal 1-on-1 Performance and Career Dialogues
↓
HR issues official Revision Letters and updates corporate grade
mappings
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Section 6: Roles & Responsibilities

6.1 Employee

- **Active Documentation:** Track and document core project milestones, code contributions, and learning certifications inside the HRIS throughout the year.
- **Self-Appraisal:** Complete honest, metrics-driven self-evaluations within the designated timeline during review windows.
- **Professional Development:** Actively participate in alignment meetings and complete skill development paths required for career progression.

6.2 Reporting Manager

- **Continuous Feedback:** Provide regular, constructive feedback during bi-weekly 1-on-1 meetings, ensuring performance assessments contain no surprises at the end of the year.
- **Objective Review:** Evaluate team members based on data and outcomes, actively eliminating personal bias.
- **Career Mentorship:** Identify high-potential talent, outline clear promotion roadmaps, and structure meaningful PIPs when performance declines.

6.3 HR & Leadership Calibration Committee

- **Process Standardization:** Facilitate alignment sessions across engineering departments to prevent rating inflation and ensure equity.
- **System Integrity:** Manage the performance modules within the HRIS and ensure compliance with appraisal timelines.
- **Final Validation:** Review all promotion recommendations and PIP outcomes to ensure complete alignment with company policies and labor frameworks.

Section 7: Exceptions

7.1 Off-Cycle Promotions

Promotions are typically processed once a year following the annual review cycle. Exceptional off-cycle promotions are permitted only under extraordinary circumstances, such as:

- **Critical Retention:** Retaining business-critical AI architects who have received competing external offers, subject to CEO and HR Director approval.
- **Substantial Structural Changes:** Immediate corporate restructuring where an employee is formally appointed to fill a sudden, critical leadership vacancy.

Section 8: Examples

- **Scenario A (Successful Promotion Execution):** A senior machine learning engineer finishes the year with an exceptional code delivery record, optimizes an internal LLM pipeline that cuts infrastructure costs by twenty percent, and receives a Rating 5. Having completed eighteen months in their current role, their manager recommends them for promotion. The department calibration panel reviews the case, and the employee is promoted to Lead Engineer at the start of the financial year.
- **Scenario B (PIP Initiation and Resolution):** A software developer begins missing critical project deadlines, resulting in a Rating 2 during the mid-year review. HR and the manager initiate a formal 60-day PIP with clear weekly coding targets. The developer works on-site at the Pune office, receives focused mentorship, and meets all target goals by week eight. They successfully graduate from the PIP, returning to standard operational standing.

Section 9: Important Notes

- **Avoid:** Do not treat self-appraisals as a simple checklist. Avoid vague statements like "assisted with project goals." Instead, use clear metrics, such as "optimized database indexing to improve API query response times by fifteen percent."
- **Best Practice:** Check your HRIS performance portal quarterly. Ensure your goals stay updated as client demands shift, and log your learning milestones immediately upon earning new certifications.

Section 10: Frequently Asked Questions (FAQ)

Q1: How often are formal performance appraisals conducted at AstraNova?

A1: Formal appraisals occur annually at the end of the financial year (March/April). Additionally, a formal mid-year check-in is conducted in October to provide alignment and course corrections.

Q2: What is the minimum tenure required to be eligible for the annual appraisal?

A2: An employee must complete a minimum of six months of continuous service within the current financial year to qualify for the formal annual appraisal cycle.

Q3: What happens if I receive a Rating 2 (Needs Improvement) at the end of the cycle?

A3: A Rating 2 automatically triggers a formal review, placing the employee on a structured 60-day Performance Improvement Plan (PIP) focused on clear objectives and close mentorship.

Q4: Can I work from home while I am placed on a Performance Improvement Plan?

A4: No. Hybrid and remote work privileges are temporarily suspended during a PIP. Employees must work full-time from the physical Pune headquarters to ensure they receive consistent guidance.

Q5: What is the minimum time I must spend in my current role before becoming eligible for a promotion?

A5: You must complete a minimum of twelve months of continuous service in your current job grade or role to be eligible for promotion consideration.

Q6: Who makes the final decision on corporate promotions and performance ratings?

A6: Preliminary ratings are provided by your direct manager. Final decisions are determined during departmental calibration meetings attended by Department Heads, the HR Director, and leadership to ensure absolute fairness.

Q7: Can I contest a performance rating if I disagree with my manager's assessment?

A7: Yes. If you disagree with your rating, you can file a formal appraisal appeal in the HRIS portal within 5 working days of your review meeting. This routes the case to an HR grievance officer for independent review.

Q8: Do certifications earned through our continuous learning initiatives impact my promotion?

A8: Yes. Technical certifications in relevant AI, data analytics, and cloud frameworks serve as key evidence of capability improvement, directly strengthening your case for promotion.

Q9: What happens if an employee fails to meet the goals outlined in their PIP?

A9: If an employee does not achieve the documented objectives by the end of the 60-day PIP window, the Company may proceed with termination of employment.

Q10: Are mid-year check-ins tied directly to salary increments?

A10: No. Mid-year reviews focus entirely on performance feedback and tracking goals. Financial adjustments and promotions are executed exclusively during the year-end annual review cycle.